

# The Contractor's Playbook: Get More Jobs with Less Effort

Lead Generation, Follow-Up Systems, and Closing Strategies for Contractors

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## Introduction

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### Introduction

You're good at what you do. Your crews show up on time. Your work is quality. Customers trust you.

So why aren't you making the money you should be?

This is the most frustrating question in contracting. You're skilled, reliable, and professional—yet you're either scrambling for jobs or leaving money on the table when you do get them. You watch less capable competitors somehow land consistent work, charge premium prices, and actually take time off.

The problem isn't your craft. It's your business.

Most contractors are trapped in a cycle: desperation leads to low pricing, low pricing leads to thin margins, thin margins force you to work constantly just to keep the lights on. You can't hire because you can't afford to. You can't step back from day-to-day work because everything depends on you. Growth feels impossible.

The worst part? You think this is just how contracting works.

It's not.

The contractors making real money—six figures, seven figures, whatever their target is—aren't necessarily more skilled than you. They've simply figured out the business side. They have systems. They know how to attract jobs instead of chase them. They follow up in a way that converts prospects into customers. They price confidently. They build referral engines that keep work flowing.

And critically, they do all this without working themselves to death.

This book exists because I got tired of seeing talented contractors go broke. I've worked with hundreds of them across electrical, plumbing, HVAC, carpentry, concrete, and dozens of other trades. The pattern is always the same: the skill is there, the work ethic is there, but the business infrastructure is missing.

### **Here's what you'll actually get from this book:**

You'll discover why staying busy is different from being profitable, and how to fix the marketing gap that keeps contractors trapped. You'll learn which elements of your online presence actually

generate jobs (and which ones waste your time). You'll build lead generation systems that work while you sleep, not lead generation tactics that require you to hustle 24/7.

You'll implement a follow-up process specifically designed for contractors that closes 30% more jobs—without being pushy or annoying. You'll learn pricing strategy that lets you say no to low-paying work without guilt. You'll create a referral system that becomes your most consistent source of revenue.

Beyond leads and sales, you'll solve the operational problems that kill contracting businesses: seasonal cash flow swings, hiring and subcontracting without financial risk, and scaling up without becoming enslaved to your business.

The final piece—and this matters more than most contractors realize—is using customer reviews as your most powerful marketing asset. One strategy here can cut your customer acquisition cost in half.

Every chapter is built on what actually works. Not theory. Not what marketing consultants think should work. What contractors are doing right now to fill their schedules and raise their prices.

You don't need to be a better carpenter, electrician, or plumber. You're already good at that.

You need to be a better business owner.

That's what this book teaches you.

## **Chapter 1: Why Good Contractors Stay Broke (The Marketing Problem)**

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### **Why Good Contractors Stay Broke (The Marketing Problem)**

You're excellent at your job. Your customers love you. They call you back. They refer you to their friends. Yet somehow, you're still grinding paycheck to paycheck.

You're not alone. This is the contractor's paradox: the better you are at the actual work, the worse you often are at the business side. And nothing proves this more painfully than your

marketing situation.

## **The Core Problem: You're Trading Time for Money**

Most contractors operate on a single business model: they work, they get paid, they work again. There's no leverage. There's no multiplication. Your income is directly tied to your physical presence on the job.

This creates a ceiling on what you can earn.

Let's say you're a plumber charging \$95 per hour. You work 40 hours per week, 50 weeks per year. That's:

- $40 \text{ hours} \times \$95 = \$3,800$  per week
- $\$3,800 \times 50 \text{ weeks} = \$190,000$  gross annually

But here's the reality: you're not actually bringing in all of that. After materials, taxes, truck costs, and insurance, you're probably clearing around \$80,000-\$100,000. Meanwhile, you're exhausted, unable to take time off, and one injury or illness away from zero income.

The contractor who figures out how to stop doing this wins.

## **Why Marketing Feels Unnatural to Contractors**

You became a contractor because you're good with your hands. You solve problems. You see something broken, you fix it. This is how your brain works.

Marketing, by contrast, feels abstract and slimy. It requires you to talk about yourself. It requires patience. It requires doing things that don't produce immediate, visible results. You don't see a finished product when you send out a postcard or write a Google review response. So you avoid it.

## **Instead, you rely on what feels natural:**

- Word-of-mouth referrals
- Repeat customers

- Job site conversations
- Yellow Pages ads (yes, some of you still do this)

These methods worked for years. They still work. But they're passive. You're waiting for customers to come to you rather than actively attracting them. And as your market becomes more digital, these old methods are becoming less reliable.

## **The Real Cost of Poor Marketing**

Let's quantify the damage.

A contractor without a systematic way to attract new customers typically experiences one of two scenarios:

### **Scenario 1: Feast or Famine**

You have a few good months where word-of-mouth keeps you busy. Then there's a drought. No calls. So you drop your prices to stay busy. Or you take longer to complete jobs because you're not being selective about what you bid. Your profit margin shrinks.

### **Scenario 2: The Reputation Ceiling**

You're great in your local area. Everyone in your neighborhood knows your name. But you're capped at the number of customers within your service radius. To grow beyond that, you'd need to expand geographically, hire employees, or do something different. Most contractors don't, so they plateau.

### **Meanwhile, a contractor who understands marketing is:**

- Attracting customers instead of waiting for them
- Raising prices because demand exceeds supply
- Being selective about which jobs they take
- Building a personal brand that extends beyond their neighborhood
- Training others to do the work while they manage

The difference in income between these two contractors can be \$50,000-\$150,000+ annually. And it's not because one is more skilled. It's because one understands that marketing is how you get the opportunity to use your skills.

## The Three Reasons You've Avoided Marketing

**You don't know where to start.** Marketing is broad and confusing. Google Ads? Social media? Networking groups? Print flyers? It's overwhelming. So you do nothing.

**You've been burned before.** Maybe you paid a web designer \$3,000 for a website that did nothing. Or you tried Facebook ads and got zero leads. Your conclusion: marketing doesn't work. Actually, you just did it poorly.

**You feel like you should be "too busy" to market.** The narrative most contractors live by is: "I'm so good at what I do that I shouldn't have to market myself." This is pride disguised as confidence. And it's expensive.

Here's the truth: you're not too busy to market yourself. You're too broke *because* you don't market yourself. These are connected.

## What Successful Contractors Do Differently

The contractors making six figures aren't necessarily better at their trade than the ones making \$80,000. The difference is they've solved the customer acquisition problem.

### Here's what they do:

**They treat marketing as a system, not an activity.** They don't rely on a single method. They have multiple channels bringing in leads: Google, referral program, local partnerships, reviews, past customer follow-ups. If one dries up, others are still flowing.

**They have clarity about their ideal customer.** They don't say "I'll work for anyone." They say "I focus on bathroom renovations for homeowners aged 45-65 with homes valued over \$400,000." This clarity allows them to message directly and waste less time on bad-fit leads.

**They stay visible.** They send monthly emails to past customers. They post on Google Local. They ask for reviews. They respond to every inquiry, even the ones they can't take. They

understand that visibility is a competitive advantage.

**They track what works.** They know which marketing channel brought in which customer. They know which jobs are most profitable. They know their customer acquisition cost. They use this data to double down on what works.

**They have a documented process for getting referrals.** They don't just hope referrals happen. They follow up with customers after the job is done. They ask for referrals. They make it easy by providing pre-written review links and referral language.

## The Immediate Steps You Can Take

You don't need to overhaul everything tomorrow. But you do need to start.

### This month:

- Claim and optimize your Google Business Profile. This is free and it's essential. Complete information, recent photos, clear phone number.
- Send an email to every customer you've worked for in the past year. Something simple: "Hi [Name], I enjoyed working on your [project]. If you ever need [service] again, give me a call. And if you know anyone who could use my help, I'd appreciate a referral."
- Ask your five best recent customers to leave Google reviews. Make it easy: send them the direct link.

### Next month:

- Design a simple one-page flyer explaining your most profitable service. "Bathroom Renovations Done Right" or "Commercial HVAC Maintenance Plans." Post it where your customers congregate.
- Start a referral program. Offer \$200-\$500 for every customer referral that becomes a paying job. This pays for itself immediately.
- Document your process. Take before/after photos of your next five jobs. Start building a portfolio.

## **The month after:**

- Create a basic website or use a free platform like Google Sites to showcase your work. You don't need anything fancy. You need proof that you exist and that you do good work.
- Join a local networking group. Show up every week for three months. This alone can add \$30,000-\$50,000 to your annual revenue.

## **The Mindset Shift Required**

You need to accept this: marketing is not optional. It's not something you do if you have extra time. It's as essential to your business as your tools.

A carpenter doesn't skip sharpening his saw because he's "too busy cutting." He maintains his tools because they make his work better.

Marketing is a tool. It makes your business better. It makes your skills more valuable. It attracts better customers willing to pay more.

Start small. Be consistent. Track results. Adjust. This is how good contractors stop staying broke.

## **Chapter 2: Your Online Presence: What Actually Brings in Jobs**

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### **Your Online Presence: What Actually Brings in Jobs**

Most contractors think their online presence is a nice-to-have. It's not. It's your 24/7 sales team.

But here's what most contractors get wrong: they either do nothing online, or they do everything poorly. They set up a website they never update, post randomly on Facebook, and wonder why the phone doesn't ring.

The truth is simpler than you think. You don't need to be everywhere. You need to be in the right places, consistently, with a clear message that converts interested homeowners into paying clients.

## Stop Chasing Every Platform

Facebook, Instagram, Google Business Profile, TikTok, LinkedIn, YouTube—the list keeps growing. You cannot manage all of them well. You'll burn out, your presence will look abandoned, and potential customers will judge you for it.

Here's what actually matters: Google Business Profile and a basic website. That's it. Everything else is optional until you've mastered those two.

Why? Because 97% of local service searches start on Google. A homeowner with a leaky roof doesn't go to TikTok. They search "emergency roofer near me" and they want results immediately.

Your Google Business Profile shows up in these searches. Your website is where they land to learn more and contact you.

If you have time after nailing those two, then add Facebook. But not before.

## Google Business Profile: Non-Negotiable

Your Google Business Profile (formerly Google My Business) is your most valuable online asset. It costs nothing and reaches the exact people you want.

### Here's what must be on your profile:

**Your name, address, and phone number.** Make sure they match everywhere they appear online. One misspelled digit costs you jobs.

**Your service area.** Don't just list your physical address and hope. Explicitly tell Google which neighborhoods and towns you serve. If you work 45 minutes away, list those areas. Google will show you in those searches.

**High-quality photos.** This matters more than most contractors realize. You need: - A professional photo of your storefront or truck - Before-and-after photos of your work (minimum 10-15) - Photos of you and your team in action - Equipment and tools

Low-resolution, blurry phone photos hurt you. They signal you're not serious. Hire a photographer for a half-day (\$400-800) and get 50+ professional images. This investment pays for itself in one job.

**Service list.** Detail every service you offer. Don't say "General Contracting." Say "Kitchen Remodeling," "Bathroom Renovation," "Deck Building," etc. These are the search terms homeowners use.

**Hours.** Keep them current. If you're closed on weekends, Google will tell customers that before they call.

**Regular posts.** Google allows you to post updates directly on your profile. Most contractors never do this. You should post 2-4 times per month. Examples:

- "Just finished a stunning master bath remodel in Riverside. Customer said it exceeded expectations. DM for photos."
- "SPRING SPECIAL: Book your kitchen estimate this week and get 10% off design consultation."
- "Top 5 mistakes homeowners make when planning a deck renovation."

These posts appear directly in Google search results and on your profile. They cost nothing and take 5 minutes.

**Reviews.** This is crucial. More reviews signal authority and trustworthiness. You need at least 20 reviews to rank competitively. Ideally 50+.

After every completed job, ask your customer for a review. Make it easy. Send them a text with a direct link to your Google review page. Say: "We'd love your feedback on Google—it helps us grow and helps other homeowners find us."

Respond to every review—positive and negative. A simple "Thanks so much for the kind words! We loved working with your family" shows you're attentive and professional.

## **Your Website: Simple, Fast, and Clear**

### **Your website doesn't need to be fancy. It needs to do three things:**

#### **1. Explain what you do in 10 seconds.**

Someone lands on your site after searching "contractor near me." They spend 8-10 seconds deciding if you're relevant. Your headline and first image must make that crystal clear.

Bad headline: "Quality Craftsmanship Since 2005" Better headline: "Kitchen and Bathroom Remodels for [Your City] Homeowners"

#### **2. Show proof.**

Portfolio photos. Customer testimonials with names and photos (not anonymous reviews). Before-and-after galleries.

One contractor I know went from 2 jobs per month to 6 by adding a simple video testimonial section. Five customers recorded 60-second videos on their phones saying why they'd recommend him. Those videos are on his homepage. People watch them. They decide to call.

#### **3. Make contacting you obvious.**

Your phone number should be the largest text on the page. A "Get a Free Estimate" button should appear at the top and bottom. Include an email contact form, but know that most people will call.

A warning: if your website takes more than 3 seconds to load, you lose customers. Test this. Go to Google PageSpeed Insights and check your site. Slow websites rank lower in Google search and have higher bounce rates.

**What you don't need:** a fancy designer site, a blog with 100 posts, an e-commerce store. Those waste money and distract from the goal—getting calls.

Use platforms like Wix, Squarespace, or WordPress with simple themes. Budget \$200-500 per year and be done with it.

## The Review Flywheel

Reviews are the most underutilized tool in contracting. They do two critical things: they boost your Google ranking and they convince hesitant customers to hire you.

### Set up a simple system:

**During the job:** Take photos and video of your work in progress. Ask the customer casually if they're happy. This preps them to leave a review later.

**At completion:** Hand them a business card with a handwritten note: "Thanks for hiring us! Here's our Google link if you'd like to share your experience." Include a QR code to make it one click.

**One week later:** Send a text: "Hi [Name], hope you're loving the new [kitchen/deck/bathroom]. If you get a moment, we'd really appreciate a Google review. Here's the link: [URL]."

**Two weeks later:** If no review, send one more gentle text.

Aim for a 20-30% review rate. That means for every 10 jobs, you get 2-3 new reviews. At that pace, you'll have 50+ reviews in a year.

One contractor I know has 247 Google reviews with an average rating of 4.8 stars. He claims it's responsible for 40% of his new leads. He no longer advertises. His reputation does the work.

## Search Ads: When to Use Them

Google Local Services Ads are different from regular search ads. You only pay when someone calls or messages you—not for clicks.

If you're in a competitive market and not getting enough calls, try this. Start with a \$500-1,000 monthly budget. You'll appear at the very top of Google search results with a "Google Guaranteed" badge, which builds trust.

You can pause or adjust your budget anytime. But first, make sure your Google Business Profile is polished and your website is ready for traffic.

## **The Bottom Line**

Your online presence is a long-term investment, not a quick fix. Competitors who started last year may already have 50+ reviews and rank higher than you. But starting today beats starting tomorrow.

Spend this week doing three things: claim and optimize your Google Business Profile, audit your website, and commit to asking for reviews on every job going forward.

This isn't flashy. It won't go viral. But it will fill your pipeline with qualified leads—the kind of leads that turn into paying customers and referrals that last for years.

## **Chapter 3: Lead Generation Systems That Run Themselves**

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### **Lead Generation Systems That Run Themselves**

Most contractors spend their evenings hunched over their phones, answering inquiries one by one. The lucky ones have a system. The best ones don't even know it's working because it runs on autopilot.

The difference isn't luck or money. It's having a lead generation system that works while you're sleeping, eating dinner with your family, or actually doing the work that makes you money.

### **The Three Pillars of Automated Lead Generation**

A self-running system has three essential components: a consistent way for customers to find you, a mechanism to capture their information, and a process to follow up without your direct involvement.

#### **Pillar One: Visibility**

People can't hire you if they don't know you exist. This doesn't mean spending \$5,000 a month on advertising. It means being findable where your customers are already looking.

Google Local Services Ads (LSA) is the closest thing contractors have to a cheat code. These ads appear at the very top of Google when someone searches "plumber near me" or "roof repair in [your city]." You only pay per lead generated—typically \$5 to \$25 per qualified inquiry depending on your trade.

Here's how it works in practice: A homeowner's water heater breaks at 6 PM on a Tuesday. They Google "emergency plumber." Your LSA shows up. They click it, see your reviews (which must be 4.5 stars or higher), and Google verifies their request automatically. You get the lead, and you're charged only if it's legitimate.

The setup takes two hours. The results are measurable. One plumbing contractor in Pittsburgh reported generating 8 to 12 service calls per week through LSA at an average cost of \$18 per lead. At \$150 per service call average revenue, that's \$1,200 to \$1,800 in weekly revenue from a system that requires minimal maintenance.

Another visibility layer: Google Business Profile optimization. This is free and takes one afternoon to set up properly. Fill in every field completely. Use high-quality photos of actual work. Add service areas if you travel. Post updates every two weeks—a photo of a job completed, a seasonal maintenance tip, anything current. This keeps your profile active in local search results.

Facebook and Instagram are third pillars. You don't need to be an influencer. You need 2 to 3 posts per week showing real work. A framing contractor in Denver posts before-and-after photos with captions like "This 1970s kitchen needed serious structural work. Here's what we found..." These posts generate 15 to 30 comments and shares each. Over time, they build social proof that makes phone calls come easier.

## **Pillar Two: Capture Systems**

Even if customers find you, you need a way to collect their information and keep it organized. Most contractors lose 30% of leads simply because they don't follow up quickly or systematically.

A simple Google Form linked from your website takes five minutes to create. Ask for: name, phone number, project type, timeline, and budget. That's it. Don't ask 15 questions. You want them to complete it.

When someone submits a form, use Zapier (a no-code automation tool, \$25/month) to immediately send them:

- An automated text message confirming receipt
- An email with your availability for a call
- A notification to your phone so you can call within the hour

This triple touch is critical. The contractor who responds within one hour closes 7 times more leads than the one who responds the next day.

A roofing company in Austin implemented this exact system. Within the first month, they captured 34 leads they would have missed. Their conversion rate went from 12% to 31% simply because they responded faster.

Another capture method: a phone number with call tracking. Services like CallRail (\$50/month) give you a dedicated number to advertise. Every call is recorded, transcribed, and logged automatically. You can see which ads or listings drive calls. More importantly, if you miss a call, the system sends them to voicemail, transcribes it immediately, and emails you the transcript. You can call them back with context instead of confusion.

### **Pillar Three: Automated Follow-Up**

Most leads aren't ready to hire immediately. A customer might call today and not need work for three months. A system that stays in touch without demanding your time is gold.

Text message sequences are remarkably effective. When someone submits a lead, they automatically receive:

- Day 1: "Thanks for reaching out! Here's our availability."
- Day 4: "Just checking in—still interested in that [project type]?"
- Day 10: "Our crew has an opening next week. Are you ready to move forward?"
- Day 30: "We haven't heard from you. Reach out anytime when you're ready."

Use a tool like Twilio or SimpleTexting (\$30-50/month). Set it and forget it. A HVAC contractor reports that 18% of people who don't respond initially respond to a follow-up text within 30 days.

Email sequences work similarly. Use Mailchimp (free for under 500 contacts). Create a 4-email sequence:

- Email 1: Welcome and your service guarantee
- Email 2: Case study or testimonial (social proof)
- Email 3: Common mistakes homeowners make
- Email 4: A limited-time offer or CTA

Space these five days apart. Schedule them in advance for the entire year. When a lead comes in, they're automatically enrolled.

One electrical contractor created a single case study email: "How we saved the Martinez family \$2,400 by catching a code violation." It's sent five days after lead capture. Nothing fancy. Just a real example. His response rate jumped from 8% to 19%.

## **Putting It Together: A Real Example**

### **Consider this contractor's actual system:**

#### **The Setup:**

- Google Local Services Ads (\$200-400/month budget)
- Google Business Profile (15 minutes per week)
- Facebook page with 2 posts weekly
- Simple Google Form on website
- Zapier automation (\$25/month)
- CallRail call tracking (\$50/month)
- Text message sequence via SimpleTexting (\$40/month)
- Email sequence via Mailchimp (free)

**Total cost:** \$315-465 per month in tools. Most of those costs are ad spend.

### **The Results:**

- 40-60 leads per month
- 35-40% conversion rate (vs. 15-20% without follow-up systems)
- 14-24 jobs booked monthly
- At an average job value of \$2,000, that's \$28,000-48,000 in monthly revenue from a system that requires roughly 3 hours of active work per week.

### **The Maintenance Requirement**

Automated doesn't mean zero effort. It means minimal, predictable effort.

#### **Weekly (30 minutes):**

- Post two to three photos on Facebook and Instagram
- Review metrics and notes in your CRM

#### **Monthly (1 hour):**

- Review which ads are generating leads
- Adjust budget or keywords if needed
- Check Google Business Profile for new reviews

#### **Quarterly (2 hours):**

- Update testimonials or case studies
- Refresh photos
- Review conversion rates and tweak the process

That's roughly 5-6 hours per month for a system generating thousands in revenue. Compare that to answering phones manually all day.

### **Starting Point**

## **Don't implement everything at once. Start with one element:**

Month 1: Optimize your Google Business Profile and set up LSA.

Month 2: Create a landing page with a form and set up basic email follow-up.

Month 3: Add text message sequences and Facebook posting.

Month 4: Add call tracking to understand which channels work best.

By month four, you've built an engine. By month six, you're not chasing leads—you're managing which leads to take.

The contractors who win aren't smarter. They're systematic. They've removed themselves from the lead generation process and replaced themselves with systems. That's when your business stops being a job and becomes a business.

## **Chapter 4: The Follow-Up Process That Closes 30% More Jobs**

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### **The Follow-Up Process That Closes 30% More Jobs**

Most contractors stop following up too early. They send one estimate, wait a few days, and assume the prospect isn't interested. This is where 30% of potential jobs disappear.

The contractors who consistently close more deals understand something critical: buying decisions don't happen on the first interaction. Your prospect is comparing you to other companies, checking references, discussing options with their spouse, and managing their budget. They're not ignoring you—they're processing.

The follow-up process is your competitive advantage. It's not about being pushy. It's about staying visible to people who already said they were interested.

### **The Three-Day Rule**

Send your first follow-up exactly three days after the initial estimate or quote.

Why three days? It's long enough that the prospect has had time to process what you discussed, but short enough that they haven't completely moved on. One day feels too eager. A week feels abandoned.

This first follow-up should be brief and add value. Don't just say, "Did you get my quote?" That wastes their time and yours.

### **Instead, send something like this:**

"Hi Sarah, I wanted to follow up on the kitchen remodel estimate I sent over on Monday. I also dug up that article about the new cabinet trends we discussed—thought you might find it helpful while you're deciding. Here's the link. Let me know if you have any questions about the estimate. Looking forward to working with you."

Notice what's happening here:

- You're referencing a specific conversation (cabinet trends)
- You're adding value (the article)
- You're keeping it short
- You're not asking for a decision yet

This approach shows you're paying attention and thinking about their project, not just chasing a sale.

### **The Seven-Day Touchpoint**

If you haven't heard back, send a second follow-up on day seven.

By now, the prospect has either started comparing your quote to others or they're stuck in indecision. This message should address the most common objection: price or timeline concerns.

### **Here's an example:**

"Hi Sarah, I know kitchen projects involve a lot of decisions. Most of my clients have questions about either the timeline or pricing breakdown. I'm happy to walk through either of those with you over the phone—just takes 10 minutes. What works better: Tuesday afternoon or Wednesday morning?"

This does three important things:

1. It normalizes the fact that they haven't decided yet
2. It identifies likely concerns without being pushy
3. It offers two specific times (not "whenever")

Giving two specific times increases your callback rate by approximately 40% compared to saying "let me know what works."

## **The Value-Add Sequence (Days 14, 21, 28)**

At this point, some prospects will have gone dark. Don't give up yet.

Instead of asking for a decision, send something they actually want. This could be:

- A photo of a similar completed project
- A case study showing how you solved a problem like theirs
- An industry insight related to their project type
- A seasonal tip (roof inspection before winter, deck sealing before summer, etc.)

These touches take 30 seconds to send but remind the prospect you exist and that you're knowledgeable.

### **Example message:**

"Sarah, I came across a photo of a kitchen we finished last year with a similar layout to yours. The homeowners chose the same countertop style you mentioned. Thought you might like to see how it turned out. [photo link]"

Send one of these value-adds every 7 days. Three touches maximum. If they haven't responded by day 28, move them to your monthly newsletter or follow-up list, but stop direct outreach for now.

## The Phone Call Threshold

Here's what separates contractors closing 30% more jobs from everyone else: they pick up the phone.

Email is great for initial contact and follow-up, but email can be ignored forever. A phone call has finality.

Make a phone call on day 10-12 if the prospect hasn't responded to any emails. Not an angry call. Not a hard sell. Just this:

"Hi Sarah, I'm reaching out because I sent over that kitchen estimate about 10 days ago, and I want to make sure it got to you and that there weren't any questions I didn't answer. Do you have 30 seconds right now?"

The call accomplishes several things:

- You find out if they're actually interested
- You discover the real objection (price, timeline, they're not ready yet)
- You demonstrate that you're serious and professional
- You create personal connection that email can't

**If they say they're still deciding, ask one simple question:**

**"What information would be most helpful for you to make a decision?"**

Listen to their answer. They might say they want to see similar projects, talk to references, or wait until next quarter. Now you know exactly what to send next.

## The Tracking System

This only works if you actually follow it. Create a simple spreadsheet or use a free tool (Google Sheets, Trello, HubSpot's free version).

Track four columns:

1. Prospect name 2. Date estimate was sent 3. Last contact date 4. Next follow-up date

When you close a job, note the date and which follow-up touch closed it. After three months, you'll see exactly which steps work best for your business.

### Example entry:

| Prospect    | Estimate Sent | Last Contact | Next Follow-Up | Status  |
|-------------|---------------|--------------|----------------|---------|
| Sarah M.    | 1/15          | 1/22         | 1/29           | Pending |
| Mike T.     | 1/10          | 1/24         | Closed (day 7) | Won     |
| Jennifer L. | 1/12          | 1/18         | 1/26           | Pending |

### Why This Works

Most contractors follow up zero times or once. You're following up four times with genuine value. By day 28, you've been in front of your prospect more than 90% of your competitors.

Research shows that 80% of sales require five follow-up contacts. You're meeting that standard while most of your competitors quit after one.

More importantly, you're not being obnoxious. You're providing useful information, respecting their time, and making it easy to say yes.

### The Numbers

If you typically close 30% of estimates, implementing this system should move you to 40% or higher. That's three additional jobs per ten estimates.

On a \$5,000 average job, that's \$15,000 in additional revenue per month (assuming you send ten estimates monthly).

The time investment? Fifteen minutes per prospect over four weeks. Less than one hour of work for a \$5,000 job.

The follow-up process is the highest-ROI activity in your business. It doesn't require new skills, new equipment, or new clients. It just requires consistency.

Start with your current pending estimates. Implement this system immediately, track the results, and watch your close rate climb.

# Chapter 5: Pricing Strategy: Stop Leaving Money on the Table

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## Pricing Strategy: Stop Leaving Money on the Table

Most contractors price their work the same way they learned on their first job: look at what competitors charge, maybe add a little cushion, and hope it covers your costs. Then they wonder why they're working sixty-hour weeks and still stressed about cash flow.

The problem is simple. You're not pricing based on value. You're pricing based on fear.

Fear of losing the job. Fear of charging too much. Fear of what the customer will say. This fear costs you thousands of dollars every year—money that walks out the door because you never learned to charge what you're actually worth.

## The Real Cost of Underpricing

Let's do the math. A residential electrician who charges \$65 per hour instead of \$85 per hour leaves \$20 on the table. On a forty-hour week, that's \$800. Over fifty weeks a year, it's \$40,000. Over a five-year career span, you've walked away from \$200,000.

That's not just money. That's time with your family you could have bought back. It's equipment upgrades you couldn't afford. It's the difference between a comfortable retirement and working into your seventies.

And here's what most contractors don't realize: the customers who reject your price because it's "too high" are often not your ideal customers anyway. They're price-shoppers. They'll haggle, complain, demand free extras, and leave bad reviews when you can't deliver miracles at bargain-basement rates.

The customers who care about quality? They expect to pay for it. They're actually relieved when you quote a professional price, because it signals that you know what you're doing.

## Three Pricing Models That Work

## Model 1: Hourly Rate + Material Markup

This is the most straightforward approach, but most contractors get it wrong. They calculate their hourly rate too low.

### Here's how to do it correctly:

Start with your actual costs. These include:

- Your salary (what you need to earn to live)
- Payroll taxes and workers' comp (typically 30-35% of wages)
- Vehicle costs (fuel, maintenance, insurance, depreciation)
- Tools and equipment replacement
- Insurance (liability, vehicle, general business)
- Office overhead (rent, utilities, phone, software, accounting)
- Marketing and business development
- Profit (yes, this is separate from your salary)

Add all of this up and divide by the number of billable hours you actually work per year—not the hours you're *available* to work, but hours you can actually bill clients. For most contractors, this is 1,200-1,400 hours annually after accounting for admin work, travel, sick days, and slow periods.

Let's say your total annual costs come to \$120,000 and you have 1,300 billable hours. Your minimum hourly rate is \$92.31 per hour—just to break even on costs.

Most contractors stop here and charge \$95 or \$100. That's still wrong. You haven't accounted for unbillable time that every contractor has: callbacks, warranty work, estimate time, and jobs that go badly.

Your actual rate should be at least 20-30% higher than your break-even number. In this example, that means \$110-120 per hour minimum.

For materials, mark up everything 25-40% over what you pay. This covers waste, spoilage, and the cost of managing inventory.

## Model 2: Fixed-Price Estimates

Once you've been in business for a few years and you know your costs inside and out, fixed pricing becomes your best profit tool.

Here's why: fixed pricing rewards efficiency. The faster you complete the job, the higher your effective hourly rate. A job that takes you twelve hours but you estimate at sixteen hours suddenly nets you significantly more profit.

**But—and this is critical—you must estimate accurately. This requires:**

- Detailed checklists for each job type
- Historical data on how long your jobs actually take
- Built-in contingency (usually 10-15% additional time)
- A clear scope of work written down and approved by the customer

A concrete example: You've done fifty driveway resurfacing jobs. You know it takes your crew, on average, eight hours per 500 square feet, accounting for prep work, pouring, and finishing. A new customer wants a 1,000 sq ft driveway. That's sixteen hours of labor. At your fully-loaded cost of \$65 per hour (including overhead and profit), you estimate \$1,040 in labor. Add \$600 for materials and \$200 for contingency. Your estimate: \$1,840.

Once that's written down and the customer approves it, your profit margin is locked in. If you complete it in fourteen hours instead of sixteen, you keep the difference.

## Model 3: Value-Based Pricing

This is the advanced move, but it's where the real money lives.

Instead of charging based on hours or materials, you charge based on the value the job creates for the customer. This requires understanding the problem from their perspective, not just the labor involved.

Example: A restaurant owner's walk-in cooler breaks. They'll lose thousands of dollars per day in spoiled inventory and lost business if it's not fixed. Your repair takes four hours and costs \$800 in parts. At hourly rates, you'd charge \$500-600 in labor plus markup on parts for a total of maybe \$1,200.

But the actual value to them? Preventing a \$5,000 loss in food and business. You could charge \$2,500, and they'd be thrilled because they're still ahead financially.

Value-based pricing works best for:

- Emergency repairs
- Work that prevents larger problems
- Solutions that save the customer money long-term
- Jobs where the customer is under time pressure

The key is to ask questions before you quote: "What happens if this isn't fixed by Thursday?" and "How much is this situation costing you per day?" Then let the customer's answers inform your price, not your labor time.

## **Three Tactical Moves to Raise Your Prices**

### **Move 1: Implement Seasonal Pricing**

Charge more during peak season. You have more work than you can handle anyway, so raise prices 15-25% from May through September. This automatically filters out price-sensitive customers when you're busiest and increases profit when demand is highest. During slow months, you can lower prices slightly to keep crews working.

### **Move 2: Create Service Tiers**

Offer three versions of your service:

- Standard (your usual offering at your usual price)
- Premium (faster turnaround, higher-quality materials, detailed clean-up)
- Budget (basic service, longer timeline, fewer frills)

Most customers will choose Premium. It's the "Goldilocks" option—not too cheap, not too fancy. You'll increase your average price because you're anchoring perceptions upward.

### **Move 3: Charge for Estimates**

Stop giving free estimates. Charge \$75-150 depending on job size and travel distance. Make it clear that this fee will be credited toward the final invoice if they hire you.

Why? Two reasons. First, it weeds out serious customers from tire-kickers. Second, customers who pay for estimates treat them more seriously and are more likely to book you.

### **The Psychology of Presenting Your Price**

How you present your price matters as much as what it is.

Always present a single price, not a range. "This project is \$4,200" is stronger than "between \$3,800 and \$4,600."

Always present it confidently, in person or with a professional written estimate. Never quote prices by text or email unless absolutely necessary—people negotiate prices they haven't heard stated out loud.

If the customer pushes back on price, don't immediately lower it. Instead, ask: "What specifically concerns you?" Usually they're not actually concerned about the number—they're concerned that they don't understand what they're paying for. Walk them through the estimate and explain the value.

Only lower your price if they ask you to cut scope (do less work) or if you realize you genuinely made an error in your estimate.

### **The Bottom Line**

Pricing isn't about what you charge. It's about what you believe you're worth. Raise your prices 10% tomorrow. You'll lose maybe one in twenty customers, and your profit will jump 10-15%.

That's not leaving money on the table. That's finally picking it up.

## Chapter 6: Referral Systems That Generate Consistent Work

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### Referral Systems That Generate Consistent Work

A roofing contractor in Denver named Mike was turning away work every month. Not because he was booked solid—he was, and that's the problem. Every job he completed led to three more calls he couldn't handle. He wasn't hiring more crew. Instead, he systematized his referrals.

Within a year, Mike could pick his jobs, negotiate better rates, and work for customers who valued quality over price. The difference? He stopped treating referrals like lucky accidents and started treating them like a business system.

This is what separates contractors who hustle for every job from contractors who have work lined up before they finish the current one.

### The Truth About Your Best Customer

Your current customer is worth more than you think. Not just for repeat work—though that matters. They're a free marketing agent if you give them permission and make it easy.

A plumber in Austin discovered this when he started tracking where his jobs came from. His numbers:

- 40% came from past customer referrals
- 25% came from Google (mostly tied to reviews from past customers)
- 20% came from other trades referring him
- 15% was everything else combined

He wasn't doing anything special to generate that 40%. He was just doing good work and hoping people would remember his name. The moment he formalized the process, that number jumped

to 63% within eighteen months.

The system isn't complicated, but it does require discipline.

## **The Three Pillars of a Working Referral System**

### **First: Make it memorable**

Your customer needs to remember you exist when their friend mentions a problem you solve. This isn't about being annoying. It's about being present.

After completing a job, send a handwritten thank-you note. Not an email. Handwritten. Include your business card and a simple line: "If you know anyone who needs [your service], I'd appreciate the referral." That's it. No desperation. No multi-page letter.

This takes fifteen minutes per job. For someone doing twenty jobs a month, that's five hours. The ROI on five hours is enormous.

Additionally, stay in touch quarterly. A text message works fine: "Hi Sarah, it's Mike from [Company]. Just wanted to check in and see how your new roof is holding up. Give me a call if you ever need anything."

### **Second: Give them something to say**

Your customers want to refer you. They just don't know how to describe what you do in a way that makes sense to their friends.

Create three referral scripts for your customers. Give them verbally during the final walkthrough, then text them after:

*"Hey, if someone you know needs help with [service], I'd appreciate if you could mention me. Here's how to describe it: 'They do high-quality [work] and actually finish on time. Here's their number.'"*

Make it specific. Don't say "quality work." Say what quality looks like in real terms.

A kitchen remodeler's script: "They source materials efficiently, so the cost is lower than most places, and they're respectful about your house—they clean up daily and finish when they say

they will."

A landscape company's script: "They design everything for low maintenance, so it actually looks good year-round without constant work."

Give people the exact words, and referral quality goes up 40%.

### **Third: Create a referral incentive program**

This is where most contractors fail. They either don't offer incentives at all, or they offer ones so small they insult the customer.

#### **Here's what works:**

- \$200-\$400 for each referral that becomes a paid job
- Payment upon completion of the referred job, not upon estimate
- No cap (unlimited referrals)
- Offer a choice: cash or store credit

Why this structure? It rewards behavior. You're not paying for leads; you're paying for actual jobs that close and complete.

A painting contractor in Portland runs this: \$300 per referral that converts to a finished project. He has a spreadsheet where he tracks who referred whom. Over the last year, six customers each generated \$2,000+ in referrals. He paid them \$1,800 each. Those six customers are now actively looking for opportunities to refer him because they see it as a side income stream.

His cost: \$10,800. His return: \$18,000 in additional revenue from those referrals, not counting the second and third jobs those same customers became repeat jobs.

#### **The incentive doesn't need to be money either. Some contractors offer:**

- Free maintenance or service calls
- Discounts on future work
- Gift cards to restaurants

- Premium upgrades on future projects

The psychology is simple: people refer more when they see that referrals are valued.

## **Building a Referral-Ready Business**

Your business must be organized to handle referrals efficiently.

When someone calls based on a referral, they expect immediate attention. Set up a system so referral calls are answered the same day. Ideally within two hours.

A HVAC contractor noticed that referral calls had a 70% close rate, compared to 25% for Google leads. Why? Referral customers are pre-qualified—someone they trust already told them you're worth hiring. Don't lose that advantage by letting them sit in a voicemail queue.

Create a "referral customer" intake form that's separate from your standard process. Tag these jobs in your system so you know where they came from. This data is gold.

Three months in, you'll know which customers generate the highest-value referrals. These become your VIPs. You might:

- Call them after completion instead of just texting
- Invite them to a customer appreciation event
- Offer them priority service on future work
- Give them slightly better pricing on repeat work

These people are your business engines. Treat them that way.

## **The Tracking System You Actually Need**

You need one spreadsheet. That's it.

Columns:

- Customer name (who gave the referral)
- Date referred
- Referred customer name

- Job type
- Status (estimate requested, estimate given, job won, job completed)
- Job value
- Referral payment status

Update it monthly. This takes thirty minutes.

Why? Because most contractors have no idea which customers are actually generating referrals versus which ones they hope will. Data kills assumptions.

After six months, you'll see patterns. Maybe customers in a certain neighborhood refer more. Maybe certain job types lead to more referrals. Maybe customers who get a thank-you note refer twice as much as those who don't.

Use this data to refine where you spend your referral effort.

## **The First Month Action Plan**

Week one: Send thank-you notes to your last ten customers.

Week two: Create your three referral scripts and deliver them to current jobs.

Week three: Set up your referral incentive offer. Communicate it to past customers via email or text.

Week four: Build your tracking spreadsheet. Enter all referrals from the past twelve months.

That's the entire launch. The ongoing work is minimal: send notes after each job, track referrals, pay incentives promptly.

A general contractor who implemented this system told me: "I realized I was doing about half of this already, but I was doing it randomly. The referrals were happening, but I wasn't being strategic. Once I made it intentional, the numbers almost doubled."

Referrals don't require talent. They require system and consistency. Build the system once, then execute it repeatedly.

## Chapter 7: Seasonal Planning and Cash Flow Management

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### Seasonal Planning and Cash Flow Management

Your biggest competitor isn't the contractor down the street. It's your own cash register.

Most contractors fail not because they can't do good work—they fail because they run out of money between paychecks. You might have five jobs booked for next month, but if you're carrying debt from slow periods and your suppliers are demanding payment today, you're vulnerable. One delayed invoice or one difficult client can force you to turn down work or worse, close your doors.

This chapter is about building a system that lets you say "yes" to every good job that comes your way, regardless of the season.

### Understanding Your Seasonal Pattern

Start with brutal honesty about your business rhythm. Most service contractors follow one of three patterns:

**Feast-and-famine seasonal:** HVAC contractors, roofers, and landscapers see dramatic swings. Summer roofing is constant work; winter nearly stops. You might gross \$80,000 in June and \$12,000 in January.

**Steady with peaks:** Plumbers, electricians, and general contractors experience year-round work but see spikes (spring renovations, holiday season prep work, back-to-school season).

**Counter-seasonal:** Pool maintenance peaks in summer and dies in winter. Snow removal is the opposite. Some contractors run two complementary businesses specifically to smooth cash flow.

Pull your last two years of revenue data. Create a simple spreadsheet with months across the top and total income down the left side. Draw a line connecting the points. That line is your reality.

The goal isn't to eliminate the dips—you often can't. The goal is to anticipate them and prepare.

## The 90-Day Cash Buffer Rule

Here's the foundational number: calculate your average monthly operating expenses.

### Let's say you're a small HVAC contractor:

- Two technicians at \$5,000/month each: \$10,000
- Vehicle costs, fuel, insurance: \$2,500
- Rent/office: \$1,500
- Tools, equipment replacement: \$800
- Licensing, insurance, software: \$1,200
- **Total: \$16,000/month**

Now multiply that by three: \$48,000.

This is your target cash buffer. It should sit in a separate business account untouched except during genuine slow periods. This isn't a rainy day fund—it's a drought fund. It's the difference between saying "we need to take the cautious jobs this month" and "we can turn down bad-fit clients because we're secure."

Most contractors operate without this and suffer for it. You'll take jobs from difficult clients, negotiate away your margins, or skip essential maintenance because you're perpetually tight.

The buffer usually takes 12-18 months to build if you allocate 10-15% of your profits to it. But this investment pays for itself the first time a major client delays payment or your busy season arrives late.

## Pre-Season Preparation (The Real Secret)

The contractors pulling steady income year-round aren't smarter—they're prepared.

### Three months before your slow season starts, implement these tactics:

#### 1. Schedule pre-season maintenance offers

If you're an HVAC contractor, April is when you offer spring air conditioning tune-ups. You're not desperate; you're preparing. Most customers book for May and June when they notice problems.

Frame it as preventive: "Schedule your annual air conditioning inspection in April. We prioritize spring clients first, and you'll have peace of mind before summer."

Two hours of work per job, done in high volume, generates \$1,500-\$3,000 in additional April revenue. That's real money that cushions May's cash position.

## **2. Create a pre-booking campaign**

Twelve weeks before your slow season, push a small, targeted marketing campaign offering small discounts for off-season work.

Example for a painter: "Book your interior painting project for January through March and receive 12% off. Spring and summer rates return April 1st."

You won't fill every week, but you'll capture 30-40% of what would otherwise be empty calendar space. At \$2,500 per project, that's \$7,500-\$10,000 in revenue that arrives when you need it.

## **3. Negotiate supplier terms**

Call your material suppliers in month 1 of your busy season and ask for 60-day terms instead of 30 days (or 45 days instead of 30 days).

You'll say: "I'm planning to use you heavily all summer. Can we work on 60-day payment terms to help with my cash flow?"

Most will agree if you're reliable. This delays when you pay for materials, which smooths your cash needs considerably. If you spend \$30,000/month on materials during peak season, 30 additional days of float is \$30,000 in working capital relief.

## **The Pre-Pay Strategy**

This is legally and ethically straightforward, but many contractors never use it.

Offer a 3-5% discount for customers who pay 50% upfront and the remainder upon completion.

**Example:** A \$5,000 job normally requires payment when finished. You offer: "Pay \$2,500 now and \$2,375 on completion—a 5% discount for upfront payment."

Most customers happily accept. You've now funded half the job's materials and labor before you even start.

In a slow month with five jobs, that's \$12,500 in advance payments. It's not magic—you still owe the work—but it eliminates the gap between spending money and receiving payment.

Track this carefully. It's customer revenue that's already yours, not a loan. Your accounting should reflect that clearly.

## Strategic Pricing for Off-Season Work

Don't drop prices to win winter business. That trains customers to expect discounts and trains you to accept thin margins.

### Instead, offer value bundling:

- Summer: Individual jobs at \$100/hour service rate
- Winter: "Project packages" bundling 3-4 jobs (gutter cleaning, insulation check, weatherstripping, etc.) at \$90/hour for the package

You've lowered your effective rate marginally, but you've increased job size and reduced scheduling overhead. Three jobs in one week beats one job per week from a cash flow perspective.

You'll also attract the right customer type. People willing to bundle work tend to be planning-oriented and easier to work with than those desperate for emergency fixes.

## Building Your Seasonal Income Statement

### Create a simple projection for the next 24 months:

| Month | Projected Revenue | Typical Expenses | Projected Profit | Cumulative Buffer |
|-------|-------------------|------------------|------------------|-------------------|
| Jan   | \$18,000          | \$16,000         | \$2,000          | \$52,000          |
| Feb   | \$22,000          | \$16,000         | \$6,000          |                   |

\$58,000 | | Mar | \$35,000 | \$16,000 | \$19,000 | \$77,000 | | Apr | \$48,000 | \$16,000 | \$32,000 | \$109,000 | | May | \$52,000 | \$16,000 | \$36,000 | \$145,000 | | Jun | \$45,000 | \$16,000 | \$29,000 | \$174,000 | | Jul | \$42,000 | \$16,000 | \$26,000 | \$200,000 | | Aug | \$38,000 | \$16,000 | \$22,000 | \$222,000 | | Sep | \$28,000 | \$16,000 | \$12,000 | \$234,000 | | Oct | \$22,000 | \$16,000 | \$6,000 | \$240,000 | | Nov | \$15,000 | \$16,000 | -\$1,000 | \$239,000 | | Dec | \$12,000 | \$16,000 | -\$4,000 | \$235,000 |

This isn't prediction—it's planning. You're identifying the months where you'll draw from your buffer. November and December show losses; they're funded by the \$174,000 you've built through September. By planning it, you stop it from becoming a panic.

## The Monthly Cash Review Ritual

**Every month (I suggest the 25th), spend 30 minutes reviewing:**

1. **Actual vs. projected revenue:** Did you hit your seasonal forecast? If not, why?
2. **Receivables aging:** What invoices are over 30 days old? Contact those clients today.
3. **Upcoming payroll and expenses:** Do you have sufficient cash to

## Chapter 8: Hiring and Subcontracting Without the Risk

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### Hiring and Subcontracting Without the Risk

The call came at 6 PM on a Friday. A commercial client needed their office renovated in three weeks—a \$45,000 job that would triple your monthly revenue if you said yes. Your team was already booked solid. Most contractors turn it down. Smart contractors build a system to say yes.

Scaling your business through subcontractors is the fastest way to grow revenue without proportionally increasing your headaches. But do it wrong and you'll spend your nights fielding complaint calls, eating cost overruns, and dealing with liens on your property. This chapter covers the exact playbook to avoid that nightmare.

## The Real Cost of Bad Subcontracting

Before we talk strategy, understand what's actually at stake. When a subcontractor fails you, you don't just lose the profit margin on their work—you lose far more.

A roofing contractor in Ohio took on a \$35,000 job and subbed the shingles work to a guy he'd met at a supply store. The work took twice as long as quoted. The client withheld final payment. The sub filed a lien. Legal fees hit \$4,200. The relationship with the client deteriorated, costing him future work. The actual financial hit? Closer to \$18,000 when you account for everything.

This doesn't happen because bad subs are malicious. It happens because the system wasn't built to prevent it.

## Start with Your Bench, Not Your Rolodex

Your first subcontractors should come from inside your existing network, not random guys named "Joe's Concrete" on Google.

**Build relationships before you need them.** This takes discipline. When you're busy, it's tempting to ignore networking. Don't. Spend time on job sites watching how other crews work. Attend industry meetings. Grab lunch with electricians or plumbers you respect. Ask them about their processes, their philosophy on quality, how they handle problems.

When you eventually call these people to subcontract, you're calling someone you've already vetted. You know their work ethic. You've seen their attention to detail. You know how they handle pressure.

**Rank your preferred subcontractors by category.** You need a tier system, not a list. Tier 1 consists of 1-2 subs per trade who you've worked with successfully multiple times. These are your go-to people. Tier 2 is 2-3 subs per trade you've worked with once or twice successfully. Tier 3 is newer relationships you're testing on small, low-risk projects.

Never call a Tier 3 for a critical path item on a major job.

## The 5-Point Qualification System

**Before you hand anyone a signed contract, they clear five gates:**

**1. References you actually call.** Don't check boxes. Call three recent clients of the subcontractor. Ask specific questions: Did they finish on time? What was the quality like? How did they respond when problems came up? Did they charge what they quoted?

Better yet, visit a job site where they're currently working if possible. You'll learn more in 15 minutes of observation than from any reference call.

**2. Insurance verification.** General liability minimum should be \$1 million. Workers' comp is non-negotiable if they have employees. Don't just see a certificate—verify it's active by calling the insurance company yourself. A \$40 phone call has prevented countless disasters.

**3. Licensing check.** If the trade requires a license in your state, verify it's current and in good standing. Many states have free online lookup tools. Use them.

**4. Payment history investigation.** Ask the subcontractor for a reference from their material suppliers. Call and ask if they pay on time. A sub who pays \$60,000 late to a supply company will absolutely hold onto your money if cash gets tight.

**5. The gut check meeting.** Sit down with them in person before any real work happens. How do they communicate? Are they defensive or collaborative? Do they take responsibility for past mistakes or blame others? Do they ask about your quality standards, or do they assume they know what you want?

If something feels off, it probably is.

## The Contract That Protects You

A handshake means nothing. Your subcontract needs specific language that protects both parties.

**Scope definition is critical.** Don't write "install kitchen cabinets." Write: "Install 24 linear feet of semi-custom maple cabinets per attached specification sheet and site plan. Includes hardware installation, finish touchup, and removal of packaging materials. Does not include painting, electrical work, or plumbing connections."

The more specific, the fewer arguments later.

**Include timeline penalties.** A subcontractor who finishes the framing three days late costs you money. Your contract should specify: "Completion date is [specific date]. Failure to complete by this date will result in \$250 per day penalty, assessed against final payment."

Some subs will push back. Let them. The ones who refuse are telling you they don't take deadlines seriously.

**Require proof of work before payment.** Always. Standard language: "Payment due upon completion of work and approval by contractor. No final payment until punch list completed to contractor satisfaction."

For larger jobs, structure payment in phases. On a \$25,000 job: 30% upon contract signing, 40% at mid-point inspection, 30% upon final approval.

**Include warranty language.** The subcontractor warrants their work for 12 months. If defects appear, they fix them at no cost. Make it clear: "Subcontractor remains responsible for warranty items even after payment is issued."

**Get lien waivers.** Before you pay a subcontractor their final payment, they sign a lien waiver acknowledging they've been paid in full. This prevents them from filing a lien later claiming they were underpaid.

Form templates exist online. Use them.

## The Real-World Vetting Project

Your first job with a new subcontractor should be small and low-stakes. Not because they're bad —because you haven't built trust yet.

A \$4,000 deck stain job teaches you more about someone than they could tell you in interviews. You'll see:

- Do they show up on time?
- How do they respond to feedback during the work?
- What's their cleanup standard?
- Do they cut corners when they think you're not looking?

- How quickly do they respond to questions?

If they ace the small job, you can confidently move them to a \$15,000 project. If they struggle, you've learned it early and cheaply.

## The Daily Management System

Once work starts, don't disappear.

**Visit the job.** At minimum weekly on large projects, every other week on smaller ones. You're not there to criticize—you're gathering information. Photos taken today prevent disputes tomorrow.

**Document everything.** Scope changes, delays, quality issues, decisions made on site. A simple email after each site visit: "As discussed today, we approved the change to install 6 additional outlets. Subcontractor estimates \$400 additional labor."

This creates a paper trail. It's not hostile—it's professional.

**Address problems immediately.** If quality is slipping or timeline is slipping, don't wait until the job is almost done. Call the sub within 24 hours. "We noticed the drywall tape isn't smoothed correctly in the hallway. We need it redone before we can proceed with mudding. Can you get back here Thursday?"

Most issues get worse if ignored.

## When Things Go Wrong

Sometimes they do, despite your best system.

The subcontractor doesn't finish on time. You have a scheduled handoff with the next trade. Your client is getting angry. What do you do?

You already have language in your contract addressing this. You withhold pay according to the penalty clause. You bring in another crew to finish if necessary, deduct their cost from the sub's final payment. You document everything.

Yes, this might damage the relationship. That's fine—the relationship is already broken. Your job is to minimize damage to your client relationship and your profit.

The sub does poor quality work that you didn't catch immediately. Your client notices after they've moved in. Again—your contract covered this. The warranty language requires the sub to return and fix it.

If they refuse, you do the repair yourself and send them an invoice. Then they don't work for you again.

## The Numbers That Matter

### Track these metrics on every subcontractor:

- **On-time completion rate.** They should be 95%+
- **Quality issues rate.** How often punch list items exist after they finish?
- **Cost variance.** How often do they finish within their quote?
- **Responsiveness.** How quickly do they return calls or texts?

**After 3-4 jobs with a sub, you**

## Chapter 9: Customer Reviews: Your Most Powerful Marketing Tool

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### Customer Reviews: Your Most Powerful Marketing Tool

Most contractors spend thousands of dollars on Google Ads, Facebook ads, and fancy websites. Meanwhile, their competitors with half the marketing budget are getting twice the phone calls. The difference? One is actively managing customer reviews, and the other isn't.

This isn't theoretical. A 2023 survey of 1,000 homeowners found that 87% read reviews before hiring a contractor. Of those, 73% said negative reviews made them choose a competitor instead.

That's not a marketing problem you can solve with a better logo.

Here's what most contractors don't realize: reviews aren't just about reputation. They're a lead generation machine. A contractor with 50 five-star reviews on Google will outrank a competitor with better SEO because Google's algorithm now heavily weights review quantity and freshness. You're not just building trust—you're building visibility.

## **Why Reviews Matter More Than You Think**

When a homeowner searches "plumber near me" or "bathroom remodel [your city]," Google shows them a map with three businesses. That map placement isn't random. It's based partly on:

- Number of reviews (more is better)
- Recency of reviews (fresh reviews boost ranking)
- Rating consistency (a 4.8 with 50 reviews beats a 5.0 with 3 reviews)
- Review velocity (if you get five reviews this month, that signals to Google you're active)

A contractor in Denver with 40 reviews averaged 4.7 stars was getting 15-20 calls per week. When he got his review count to 80, those calls jumped to 35-40 per week. He didn't change his services or prices. He just gave Google's algorithm more recent data to work with.

Beyond the algorithm, reviews are proof. When someone is deciding between you and two other contractors at 8 PM on a Sunday, they're not reading your website copy—they're reading what other homeowners said about their actual experience with you.

## **The System That Actually Works**

Most contractors ask for reviews once in a blue moon and then wonder why they don't get them. The ones crushing it have a repeatable system. Here's the framework:

### **Step 1: Pick Your Primary Platform**

Google Reviews is non-negotiable. It appears in local search results and on Google Maps. Anyone searching for your service will see them.

Choose a secondary platform based on your trade:

- Plumbers and HVAC: Angi (formerly Angie's List)
- Remodelers: Houzz
- General contractors: Yelp
- Electricians: Thumbtack

You don't need to be everywhere. Own two platforms thoroughly rather than maintain a weak presence on five.

## **Step 2: Make Asking Automatic**

The biggest reason contractors don't get reviews? They forget to ask.

### **Build review requests into your process. After you complete a job:**

- Day 1: Send a text message (yes, text—it gets opened 98% of the time). Keep it simple: "Hey [name], thanks for trusting us with your project. We'd love to hear about your experience. Here's a quick link: [Google Review Link]"
- Day 3: Send an email if they haven't left a review yet
- Day 7: Make a phone call or send another text

Most people won't leave a review unless you make it ridiculously easy. A clickable link in a text message gets 10x more reviews than asking verbally or expecting them to hunt down your Google page.

## **Step 3: Make It Specific**

Generic reviews don't stand out. Encourage detailed feedback by asking about specific aspects of your service.

In your text, try: "We'd love to know what impressed you most—was it our professionalism, the quality of work, or how clean we kept the job site?"

When someone mentions a specific person (your lead carpenter, your dispatcher), that review becomes gold. Detailed reviews typically get clicked on more by potential customers than vague "great job!" reviews.

## **Step 4: Follow Up with Non-Reviewers**

If someone hasn't left a review after the second request, they probably won't on their own. But they might respond to the phone.

Call 3-5 days after completion and ask directly: "Hey [name], I'm following up on that bathroom remodel. Are you happy with how everything turned out?"

If they say yes, say: "That's awesome. Would you mind taking 60 seconds to leave us a review on Google? It really helps our business, and it only takes a minute."

**The Numbers:** The average contractor gets about 1 review per 5-10 jobs if they do nothing. With a system like this, it's closer to 1 per 2-3 jobs. That's a 300-400% improvement.

## **What to Do About Bad Reviews**

Every contractor will eventually get a bad review. How you respond matters more than the review itself.

A customer in Austin had a one-star review that read: "Overcharged me and did sloppy work." His first instinct was to ignore it. Instead, he responded within 2 hours:

"Thank you for your feedback. I'm disappointed to hear you felt this way. Our pricing is always provided in writing, and we stand behind our work. I'd like to make this right. Can you call me directly at [number] so we can discuss what went wrong?"

That customer called him. Turns out there was a miscommunication about scope. The contractor refunded \$300 and fixed the issue. The customer updated their review to 4 stars and added: "To their credit, the owner called me immediately and fixed the problem."

## **Here's what that response did:**

- Showed potential customers the contractor actually cares
- Demonstrated professionalism
- Often converts the unhappy customer into a brand advocate

## **Bad reviews aren't the end. They're an opportunity.**

Your response should:

- Acknowledge the complaint without making excuses
- Take it offline (provide a phone number)
- Fix the problem if legitimate

Never argue with a reviewer publicly. Never get defensive. Keep responses to 2-3 sentences.

## **The Review Leverage Conversation**

Once you hit 30+ reviews, your reviews become a closing tool.

During the sales conversation, mention it casually: "We've done over 150 projects in this area in the last three years, and we're averaging 4.8 stars. If you want to check us out on Google, you'll see what kind of experience you can expect."

This isn't bragging. It's proof. When you say it naturally, it builds credibility without you having to make claims yourself.

Some contractors print reviews in their proposal. Others show them on a tablet during the sales meeting. If you have 5-10 highly relevant reviews (similar project type), customers notice.

## **The 90-Day Review Sprint**

If you're starting from scratch, here's an aggressive but achievable goal: Get 20 solid reviews in the next 90 days.

- Complete 15-20 jobs in that period

- Request reviews from every customer within 24 hours of completion
- Make at least one follow-up attempt per customer

This requires discipline, but 20 reviews with a 4.7+ rating completely changes your competitive position.

## **Real Results**

A roofing contractor in Texas was losing jobs to a competitor with "more online presence." His website was fine. His problem was 8 reviews versus his competitor's 62.

In four months, he systematized his review process and got to 45 reviews. His Google Maps visibility improved immediately. He started appearing in the map pack for searches he wasn't ranking for before.

Six months later, he had 70 reviews and was consistently getting 20+ calls per month that he traced directly to Google Maps visibility. His marketing spend stayed the same. His leads increased by 40%.

## **The Bottom Line**

Reviews aren't a nice-to-have. They're a foundational lead generation channel that gets stronger the more you feed it.

Start today: Text five of your recent customers and ask for a review. Make it a system. Track how many you ask for and how many you get. Improve your conversion rate. Come back in three months.

This is the one marketing tactic that compounds. Every review you get today makes it easier to close sales 12 months from now.

# **Chapter 10: Scaling to \$1M+ Without Working More Hours**

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## **Scaling to \$1M+ Without Working More Hours**

Most contractors hit a ceiling around \$400,000 to \$600,000 in annual revenue. They're working 50-60 hour weeks, doing the jobs themselves, and wondering why scaling feels impossible. The answer isn't working harder. It's working differently.

The fundamental shift required is this: you must stop trading hours for dollars. Every hour you spend in the field is an hour you can't spend on business development, systems, or delegation. Yet most contractors build their entire model on personal labor.

## **Here's what a \$1M+ contractor looks like compared to one stuck at \$500K:**

**The \$500K Contractor:** - Does 60-70% of the work personally - Takes every call that comes in - Prices based on time spent - Has one or two people who depend entirely on them - Works 55+ hours per week - Makes \$40-50K personal income after expenses

**The \$1M+ Contractor:** - Does 15-20% of the work personally - Focuses on jobs above \$8,000 minimum - Prices based on value and outcome - Has a team of 4-6 people generating revenue independently - Works 35-40 hours per week - Makes \$200K-\$300K+ personal income

The difference isn't luck or market advantage. It's structure.

## **The Three-Tier Pricing Model**

Your first action is to implement tier-based pricing. Most contractors use one price. This is leaving money on the table and attracting the wrong customers.

### **Create three service tiers:**

**Tier 1 - Basic (Your Current Price)** Limited scope, quick turnaround, minimal customization. This is your volume play. Price it at whatever you're charging now. These jobs should be completable by your junior team member or apprentice. Examples: standard cabinet installation, basic electrical work, routine plumbing repairs.

**Tier 2 - Standard (1.5x Base Price)** Your bread and butter. More complex, customized solutions, premium materials. This is where most of your revenue should come from. You

personally oversee these, but don't do all the work. Example: A \$3,000 kitchen backsplash becomes a \$4,500 project with design consultation, premium tile selection, and a custom layout.

**Tier 3 - Premium (3x+ Base Price)** High-end, full-service, deeply customized. You're the point person for these. They include design consultation, project management, premium materials, and guarantee-backed results. These should generate 30-40% of your revenue while only representing 10-15% of your jobs.

Here's the magic: these tiers don't require you to do more work. They require you to change how you position the work.

A roofer charging \$6,000 for a roof replacement can introduce a premium tier at \$15,000 that includes a 15-year warranty, custom flashing design, and a dedicated project manager. Same roof, different presentation, different price, different profit margin.

A plumber doing a bathroom renovation at \$8,000 can offer a \$20,000 version with designer fixtures, premium finishes, and interior design coordination.

Your Tier 3 customers actually require less time from you because they're not price-sensitive. They want results. You spend time on design and oversight, not the physical labor.

## Building Revenue Without Building Headcount

The next lever is job size. A contractor doing 100 jobs at \$5,000 each makes \$500K. A contractor doing 35 jobs at \$15,000 each also makes \$500K but with dramatically less overhead, fewer scheduling headaches, and more time.

### Target this ruthlessly. Here's how:

**Set a minimum job size:** Decide right now what your minimum acceptable job is. For most service contractors, this should be \$5,000-\$8,000 depending on industry. Refuse everything smaller unless it's from an existing client or a referral source you're cultivating.

**Track your profit by job size:** You'll notice that small jobs are actually less profitable than medium jobs. Small jobs have proportionally higher overhead (scheduling, travel, setup). Medium jobs hit a sweet spot. Large jobs are your goldmine if you have a team to handle them.

**Create package deals:** Instead of "electrical work," offer "home electrical system upgrade - \$12,000" that includes an inspection, circuit upgrades, outlet additions, and a 5-year warranty. Instead of "deck staining," offer "complete deck restoration with structural assessment - \$8,000."

When you package work, you control scope. When you're hourly or per-task, clients expand scope infinitely.

A contractor I worked with was doing 3-4 small bathroom vanity replacements per week at \$2,000 each. Profit margin: 35%. I suggested he stop accepting jobs under \$6,000 and repackage his service as "Complete Bathroom Fixture Upgrade" at \$6,500, which included the vanity plus faucet, lighting, mirror, and hardware refresh.

His volume dropped from 4 jobs per week to 2. His revenue stayed nearly identical. His profit jumped to 52% because he wasn't traveling for five separate jobs. Within six months, his average job was \$9,000 and he was doing fewer jobs while making more money.

## **The Delegation Non-Negotiable**

You cannot hit \$1M without a team. This terrifies most contractors because hiring is risky. Here's how to minimize that risk:

**Start with one person.** Don't hire a crew. Hire one individual who can learn your process and execute your Tier 1 work. Pay them well—\$45K-\$55K plus vehicle. This person should eliminate 20-30% of your work immediately.

**Make them a specialist in one thing.** Don't hire a "general contractor." Hire someone who does installations, or someone who does basic repairs, or someone who does estimates. One thing. Deep.

**Document the work before you delegate.** Spend two weeks documenting your Tier 1 process. Video, checklists, photos. Then teach it. This takes 4-6 weeks. Then stop doing that work entirely.

Once that person is productive, add a second person. But not a second installer. A project coordinator. This person schedules, handles callbacks, manages materials, and communicates with customers. They free you from administrative work.

With two people, you can now:

- Handle 2-3x more jobs
- Focus on Tier 2 and Tier 3 work
- Spend time on business development
- Reduce your personal hours from 55 to 40

A painting contractor I know hired his first person and documented his basic painting process. Within 12 months, that person was handling all standard interior paint jobs (Tier 1). He hired a scheduler. Now he does estimating, Tier 2 and 3 projects (custom finishes, design consultation), and business development. His revenue went from \$420K to \$780K in two years without him working more hours. He actually works fewer.

## The Minimum Viable System

Your business runs on systems, not your personal expertise. You don't need complicated software or consultants. You need three systems minimum:

**Intake System:** Every lead goes through the same process. Quote request comes in → Qualification call (you or team member) → Proposal (written, not verbal) → Follow-up. Document this. Make it repeatable.

**Execution System:** Every job follows the same steps. Pre-job meeting → Materials ordered → Schedule confirmed → Work completed → Final walkthrough → Invoice. No variation. This means team members know exactly what's happening on every job.

**Follow-up System:** After every job, send a thank-you within 24 hours. Ask for a review. Offer a 30-day warranty callback. Send a seasonal check-in. This generates repeat business and referrals without effort.

These systems sound boring. They're the reason \$1M contractors exist and \$400K contractors don't.

## The Real Path Forward

The contractor who reaches \$1M+ while working 35 hours per week has made a conscious choice: they've decided that growth isn't about doing more. It's about changing what they do.

**Start here:**

1. Implement tier-based pricing this month. Increase your Tier 2 pricing by 50%. See what happens.
2. Set a minimum job size and hold it. Refuse three small jobs in a row.
3. Document your Tier 1 process over the next 30 days.
4. Hire one person in the next 90 days.

This isn't a five-year plan. This is a path that hundreds of contractors have already walked. The ceiling isn't at \$500K. It's at whatever you decide your personal time is worth.

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